

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter as it pertains to Complainants' pending Exceptions to the Presiding Officer's Initial Decision of January 17, 2017, which partially dismissed the Complaint with respect to complainants' 2006 Mercedes SL65.

The Commission may recall that the Presiding Officer found that Complainants failed to establish that a contract of carriage existed between the parties for the ocean transport of said automobile. As set forth below, complainants respectfully submit the following information recently obtained during the course of litigation in a separate matter which involves the Mercedes, and which may be relevant to the issue of respondents having confiscated said automobile under the pretense of a warehouse lien for monies allegedly due and owing for services unrelated to the ocean carriage of said automobile, in violation of the Shipping Act of 1984.

The Commission may recall that Complainants' Status Reports of June 21, 2017 and September 6, 2017 explained that there is currently litigation ongoing in Federal Court regarding the very same automobiles that are at issue herein (to wit: a Mercedes and Porsche), in the U.S.

District Court for the District of New Jersey, captioned as *World Express & Connection, Inc. v. Crocus Investments, LLC et al.*, U.S.D.C. -- D.N.J. Docket No.: 2:15-cv-08126-KM-MAH.

A change in status in this matter that may be relevant for the Commission is with regard to the deposition testimony of the corporate representative of World Express & Connection Inc. (“World Express”), Raya Bakhirev (who also testified in her personal capacity as a named third-party defendant), taken on November 7, 2017 and November 15, 2017, pursuant to Fed. R. Civ. P. 30(b)(6) in the matter of World Express, *supra*. As explained below, Bakhirev was also the General Manager and Bookkeeper of Marine Transport Logistics Inc. (“MTL”) during the relevant time period of the events alleged in the Complaint.

Copies of the relevant portions of Ms. Bakhirev’s deposition transcripts from the first and second days of her deposition are annexed hereto as **Appendix “A”** and **“B”** respectively, and the Commission is respectfully directed to the following exchanges on the issue of Bakhirev’s affiliation with MTL and MTL’s custom and practice of only accepting cars into its possession, custody, and control solely for purposes of export, and never for storage only:

Raya Bakhirev Worked For MTL As Its General Manager, Bookkeeper And Documentation Person During The Relevant Time Period Of The Events Alleged In The Complaint

Q. What does it say under your previous employment?

A. MTL.

Q. Okay. And what does it say for description of ocean transportation intermediary duties performed?

A. Documentation, bookkeeping, general manager.

Q. General manager, so now you were a general manager at MTL as well?

A. Yes, I was.

(See, Appendix “B” at p. 18/ln. 22-25; p. 19/ln. 2-8)

Raya Bakhirev Worked For MTL From 2001 Until May of 2014

Q. When you were at WEC, why did you have an e-mail address at MTLWorld.com?

A. Because before I became the owner of WEC I worked for MTL.

Q. But then when did you work for MTL before WEC?

A. From 2001. From 2001, I believe.

Q. Until?

A. Until, until the time I moved to Car Express, until 201[4]¹.

(See, Appendix “A” at p. 64/ln. 11-20)

MTL’s General Manager and Bookkeeper Raya Bakhirev, Explains That MTL Accepts Automobiles Into Its Possession, Custody, and Control Solely For Purposes of Export, and Never for Storage Only

Q. So let's say I wanted to store my car, and I'm not shipping it, what is my rate?

A. We will not take your car for storage.

(See, Appendix “A” at p. 137/ln. 20-22).

Raya Bakhirev Testifies That The World Express Vehicle Receipt For The Subject Mercedes Was Not A Fraudulent Document, That It Is A Warehouse Receipt And That World Express Accepted Vehicles From Customers To Be Shipped By MTL

Q. So is your position that this is not a real or fraudulent document from WEC?²

A. I think that this is a real document, but as regard to this note, but I believe that this is a real document. This is not a fraudulent document. But that individual might have made a mistake because ***customers bring cars to be shipped by MTL...***

(See, Appendix “B” at p. 89/ln. 5-13)

¹ The 2013 date in Ms. Bakhirev’s transcript was later corrected by errata sheet (annexed hereto as Appendix “C”) to a 2014 date. For purposes of clarifying this issue, she testified that she worked at Car Express and Import Inc. starting in May of 2014 through March of 2017 (See, Appendix “A” at p. 37/ln. 20-23 together with the correction in the errata sheet).

² The warehouse receipt (document) that Ms. Bakhirev was being questioned on was marked as Exhibit “7” during her November 15, 2017 deposition (Appendix “B” herein) at p. 86/ln. 10-12. The warehouse receipt itself is annexed hereto as Appendix “B-1”.

A further change in status in this matter that may be relevant for the Commission is with regard to the deposition testimony of respondent, Dimitry Alper, taken on January 31, 2018, pursuant to Fed. R. Civ. P. 30(b)(6) in the matter of World Express, *supra*. As explained below, Alper was MTL's General Counsel and Director of Operations during the relevant time period of the events alleged in the Complaint.

A copy of the relevant portions of Mr. Alper's deposition transcript from his deposition is annexed hereto as **Appendix "D"**, and the Commission is respectfully directed to the following exchanges on the issues of: a) MTL's custom and practice of allowing free storage for vehicles destined for export by MTL [which it did for the subject Mercedes]; b) MTL's custom and practice of allowing customers to provide verbal instructions to export vehicles; c) MTL having provided a defective MTL House Bill of Lading purporting to indicate Andrey Tretyakov as the shipper of the subject Mercedes which contains the illegitimate information including a bogus AES XTN/ITN number; d) the absence of any indicia that MTL had a lien on the subject Mercedes (warehouse lien or otherwise) and that liens simply do not materialize out of thin air; e) MTL's inability to lawfully take ownership of [and subsequently sell] the subject Mercedes valued at over \$40,000.00 due to \$900.00 in storage fees allegedly due and owing; f) the fact that the owner of the subject Mercedes and Porsche at the time of shipment was complainant herein, Maxim Ostrovskiy (who had received the original title from Manhattan Auto Brokers Inc.); g) the requirement that Maxim Ostrovskiy and/or Manhattan Auto Brokers Inc. (as owner of the subject Mercedes) should have been listed (but were not) as U.S. Principal Party in Interest ("USPPI") on the Shipper's Export Declaration filed by MTL with the U.S. Department of Commerce at the time of the export of the car; h) the inconsistencies between MTL's argument to the ALJ that Maxim Ostrovskiy was not the owner of the Mercedes during the time of the ocean transportation of the car, and that MTL had allegedly confiscated and sold the Mercedes pursuant to a purported warehouse lien prior to export, and the fact that between June of 2013 and March of 2014 MTL reduced complainants

amount allegedly outstanding from \$2354 to \$900 and also changed the name of the customer in its balance statement from “IAM & AL Group, Inc.” to “Maxim Ostrovskiy”; and i) MTL having committed a Shipping Act violation by at the very least, having misdelivered the Mercedes to Dubai:

Dimitry Alper Worked At MTL Between 2009 Through April Of 2015 And Served In The Roles Of General Counsel And Director Of Operations And Created The Policy Whereby Cars Destined For Export By MTL Were Allowed An Initial Thirty Days Of Free Storage By MTL

Q. Can you tell us the years that you worked at MTL?

A. '09 through April of '15.

Q. And as I understand, your positions varied there between general counsel and director of operations. Is that correct?

A. Yes.

(See, Appendix “D” at p. 13/ln. 6-12)

Q. Is there storage fee from day one at MTL or if you remember?

A. I remember. I made the policy, so I remember. The general policy was 30 days free if the car is shipped through MTL; after which, it was, I believe, ten bucks a day or 15 bucks a day for a car, I think they changed it at one point thereafter. ***And if you don't ship it through them, it's storage goes from the first day.***

(See, Appendix “D” at p. 17/ln. 15-23)

Customers Of MTL Were Allowed To Verbally Provide Shipping Instructions For Export Of Automobiles

A. As far as I remember, this was the policy throughout my time there. If you're a first-time customer, you fill out something along the lines of a new client registration form, just your basic information, name, address, stuff like that, tax ID. And then you fill out an order form, which also doubles as a Power of Attorney that you allow MTL to ship your car on your behalf, from where to where, who the contact will be, value of the car, VIN number, et cetera.

Q. Can an order be placed verbally or only written at MTL in your experience?

A. From my experience, it could be placed verbally. It shouldn't be, but it was.

Q. How was it done verbally?

A. A client can come in talk to somebody, call somebody at the company. Once again, I try to stay away from that, but I know it's happened.

(See, Appendix "D" at p. 19/ln. 7-16, 21-25; p. 20/ln. 1-3)

MTL provided a Defective MTL House Bill of Lading purporting to indicate Andrey Tretyakov as the shipper of the subject Mercedes, Which Contained Illegitimate Information Including A Bogus AES XTN/ITN Number

Q. Take a look at the second document, 0259, Defendant Bates.³

A. This one?

Q. The second document from Exhibit-4.

A. Uh-hum.

Q. Do you see where it has XT[N] number?

A. I do.

Q. Do you know what that XT[N] number is or do you know what XT[N] number stands for?

A. No idea.

Q. Is IT[N] and XT[N] used interchangeably in the field?

A. No idea.

Q. Based on your understanding of the IT[N] or the way that I just previously explained it to you, do you believe that that is a legitimate number based on --

A. No, it's not.

Q. Why not?

A. It's sequential, one through nine.⁴

(See, Appendix "D" at p. 44/ln. 22-25; p. 45/ln. 1-17)

³ The document referred to is an MTL Bill of Lading produced by MTL and is bates numbered DEF0259 and was marked as part of exhibit "Alper-4" during Mr. Alper's deposition and is also annexed hereto as Appendix "E".

⁴ The XTN number on the MTL Bill of Lading reads as follows: 123456789-HBOL15692". An example of what would actually be a legitimate XTN number can be seen in the Maersk Bill of Lading (with XTN number X20130821010350) and which is annexed to the Appendix To Complainants' Brief In Support Of Its' Exceptions To Presiding Officer's Initial Decision, Appendix "18", page 007, in the Certification of Alexander Safonov from the matter of MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al. (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110). Reference to this document on the FMC Docket is being made, rather than providing the document itself in order to avoid burdening the Commission with voluminous filings.

MTL's Argument To The ALJ That Maxim Ostrovskiy Was Not The Owner Of The Subject Mercedes During The Time Of The Ocean Transportation Of The Car, And That MTL Had Allegedly Confiscated And Sold The Mercedes Pursuant To A Purported Warehouse Lien Prior To Export Is Not Consistent With The Fact That Between June Of 2013 And March Of 2014, MTL Reduced Complainants' Amount Allegedly Outstanding For The Mercedes From \$2354 To \$900 And Also Changed The Name Of The Customer In Its Balance Statement From "IAM & AL Group, Inc." To "Maxim Ostrovskiy"

- Q. Does it state the name of the client on that invoice?
- A. Oh, yes, it does, IAM & AL Group, Inc. It's a balance statement, I believe.
- Q. What is the outstanding balance that's indicated on this document?
- A. \$900.
- Q. And as far as I understand, can you turn to Paragraph 12 of your declaration?
- A. To date, \$900 remains unpaid.
- Q. What is date of your declaration?
- A. March 5, 2014.
- Q. The next document -- you can keep that out -- I'm going to show you has been marked as Alper-7... so can you take a look at that document?⁵
- A. Are the dates the same?
- Q. No, the dates are different. We have a followup question in relation to the two documents.
- A. Okay.
- Q. Alper-7, yes.
- A. It's an invoice, it's a balance statement to -- this time to Ostrovskiy, Maxim, in the amount of 2,354.
- Q. And what is the date of that?
- A. June 12, 2013.
- Q. So, let's just -- quick math. If on June -- in June 2013 he owes 2,354 and on March 14th he stated in the declaration, they have nothing in their attachment, he owes \$900, does that mean that some balance would have been paid off?
- A. So, this is June 2013 and that's March 2014?
- Q. Right.
- A. Either some balance was paid off or they gave him a discount. I have no idea what they did with that.

⁵ The document marked as Alper-7 during the deposition is annexed hereto as Appendix "F".

Q. As far as you could see, there's a reduction owed from 2,354 in 2013 to 900 in 2014?

A. Yeah, but the names don't match up on the statements, so...

Q. Right. One is to IAM and the other is to Maxim Ostrovskiy?

A. Right, so it doesn't make much sense.

Q. But if we assume -- not assume, I think you might not be aware, but it is of knowledge as to the parties in this matter that IAM & AI was Maxim Ostrovskiy, would it be possible for them to comingle the bills with the amount that he owed one time putting IAM his company and another time putting him personally?

MR. CIPPARULO: Objection to form.

A. Okay. Would it be possible? Anything is possible. But, once again, you didn't ask my opinion, but according to accounting principles, you really can't do that. I don't know what they're doing with this.

Q. Based on your opinion, what do you think happened here?

MR. CIPPARULO: Objection to form. Can you answer?

Q. If you don't know, you don't know.

A. The only thing I could imagine or assume is that they reached some kind of agreement. That's my best guess here.

Q. To cause the reduction in fees?

A. Correct.

(See, Appendix "D" at pp. 56-58; p. 59/ln. 1-12)

A Lien On The Subject Automobiles (Warehouse Lien Or Otherwise) Could Not Simply Materialize Out Of The Air At The Whim Of MTL Because There Are Legal Procedures That MTL Was Required To Follow In Order To Assert A Lien Against The Subject Cars In Its Possession Prior To Such Cargo Being Confiscated And Sold, And/Or Exported Overseas – Put Simply MTL Could Not Sell What It Never Owned

Q. So, what happens in this matter if the payment is not made in 10 business days?

A. You could get a late payment fee, you could get a lien on your cargo, I mean or nothing could happen, depending on what MTL wants to do.

Q. When you mention lien on cargo, what kind of lien?

A. Get a warehouse lien. A judgment, if it gets that far.

Q. Can you get a maritime lien?

A. You could, in theory, sure.

- Q. Do you know what is the process for obtaining a warehouse lien?
- A. No, I can't lay that process out for you right now. I know it's a complicated one.
- Q. Do you know anything about the process, as far as you know, or if it's done in your practice?
- A. I have never done it in my company, so.
- Q. Have you -- but you've heard of the term "warehouse lien"?
- A. Yeah, you have to, I guess -- I don't know what department handles that, but you have to file, you know, motion or something that the client owes you X-amount of dollars for storages, present the invoices, whatever agreement you have, and get a lien against the title of that cargo.
- Q. Does the client usually have to be notified of this proceeding?
- A. Yes, as far as I know, yes.

(See, Appendix "D" at p. 66/ln. 7-25; p. 67/ln. 1-10)

- A. The way it really happens is the cargo is not released until you pay the money. That's the general practice in the industry. Nobody goes out after a hundred-fifty-dollar liens, as far as I know.
- Q. Can you confiscate a car that's worth \$28,000 for, let's say, \$900 of unpaid charges?
- A. No, you cannot, but you can hold it.
- Q. You can hold it?
- A. Yes.
- Q. And accumulate charges, I assume storage charges?
- A. Right.
- Q. Which seems reasonable?
- A. Right, right.
- Q. Let me have you take a look at 54 in Alper-9, it's entitled 54 and 56.⁶
- A. Okay. Same two titles, the Porsche and the Mercedes.

⁶ The document marked as Alper-9 during the deposition is annexed hereto as Appendix "G".

- Q. Can MTL sell these cars with a title as they are? Or you as a shipper, let's say you. received those two titles, can you legally sell those two cars?
- A. No, I don't think you could.
- Q. Why not?
- A. Because you can't sell what you don't own.
- Q. And those titles do not show MTL as the owner?
- A. Correct

(See, Appendix "D" at p. 68/ln. 5-25; p. 69/ln. 1-9)

- Q. So, if we assume, based on the titles, that the cars belong to IAM and that other company, Manhattan, and the titles were never changed, who's the owner of the cars when they're shipped?
- A. The respective owners, IAM and Manhattan.
- Q. Is it possible to change the owners of the time before shipment?
- A. Change how?
- Q. I'm trying to think of any way to change ownership.
- A. Unless you went through court and got a lien or you paid them or, no, I don't believe so.

(See, Appendix "D" at p. 71/ln. 3-14)

Mr. Alper Confirmed The Requirement That Maxim Ostrovskiy And/Or Manhattan Auto Brokers Inc. As last owner in United States Of The Subject Mercedes Should Have Been Listed (But Were Not) As U.S. Principal Party In Interest ("USPPI") On The Shipper's Export Declaration Filed By MTL With The U.S. Department Of Commerce (Through the Automated Export System "AES") At The Time Of The Export Of The Car

Complainants note up front that the Certificate of Title for the subject Mercedes was the document used by respondents to prepare the AES filing with the U.S. Department of Commerce because it is the only document that has the requisite information needed to complete the filing. The Commission is already aware that upon completion of the AES filing, that the U.S. Department of Commerce generated a XTN/ITN number (the Internal Transaction Number is a confirmation

number that proves a shipment has been accepted by AES, and is unique for every shipment and must be provided to the U.S. Customs and Border Protection at the port of export) which is then added to the House Bill of Lading and Ocean Liner Bill of Lading as appropriate. As to ownership of the subject Mercedes and the fact that the USPPI is the owner of the cars, Mr. Alper's testimony is below:

Q. Take a look at Alper-2 again.⁷

A. Okay.

Q. Look at that in conjunction with Alper-9. Can you turn to the title pages?

A. Uh-hum.

Q. Of the two cars, I believe it's 54 and 56?

A. Yes.

Q. The two cars that are subject of this litigation, the Porsche and the Mercedes, can you -- from the AES declaration, can you tell is who the USPPI is in this transaction?

A. Okay. Car Express & Import, Inc.⁸

Q. The titles for these two cars, as we see, have a different donor?

A. Correct.

Q. How could Car Express be listed as a USPPI in this case?

MR. CIPPARULO: Objection to form.

A. I don't know.

Q. Does that make any sense to you?

A. Not right now, no.

⁷ The document marked as Alper-2 during the deposition is annexed hereto as Appendix "H".

⁸ Complainants also note that it has already been established on the record in this matter that the auto auction warehouse known as "Copart" has confirmed (by response to a Subpoena) that the invoice purporting to indicate that Copart had allegedly sold the Mercedes to Car Express & Import Inc. was a fake invoice and was never part of Copart's business records. That information can be found in detail for the Commission's reference at Document #'s 32 and 33 (COMPLAINANTS' STATUS REPORT and Appendix To Complainants' Status Report).

Q. I think it was your testimony, and also maybe my statement, which you might have agreed with, that USPPI is the owner of the car?

A. Correct, the last owner.

Q. The last owner in United States?

A. Correct.

Q. So, if these titles show the owners IAM and Manhattan, et cetera, one of them should have been listed as a USPPI on the AES?

A. Yes, based on the paperwork, other paperwork.

(See, Appendix “D” at p. 85/ln. 13-25; p. 86/ln. 1-20)

Mr. Alper confirmed that The Export Of The Cars To Dubai Was At The Very Least, a Misdelivery

Q. Back to the Mercedes and Porsche. Based upon your testimony today, there is certain procedures that need to be followed in order to exercise Maritime lien or the vehicles. So, my question to you is: If there was no warehouse lien or Maritime lien in place and the Mercedes was delivered to Dubai instead of somewhere else, which we have documentation that we haven't shown you, but Maxim Ostrovskiy was invoiced for shipping to Kotka for that vehicle and we know the vehicle was delivered to Dubai instead, my question to you is: Would you classify that delivery to Dubai as a misdelivery?

MR. CIPPARULO: Objection to form.

A. At the very least a misdelivery.

(See, Appendix “D” at p. 130/ln. 17-25; p. 131/ln. 1- 6)

In closing, this information may affect the outcome of the Commission’s rulings on Complainants’ Exceptions to the Presiding Officer’s Initial Decision, and it is noted that the Federal litigation in the matter of World Express, *supra* is still ongoing. Consequently the foregoing is respectfully submitted as a ‘change in status’ of this case with regard to the issues of:

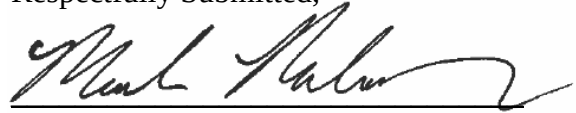
- a) MTL’s custom and practice of allowing free storage for vehicles destined for export by MTL;
- b) MTL’s custom and practice of allowing customers to provide verbal instructions to export vehicles;
- c) MTL having provided a defective MTL House Bill of Lading purporting to indicate

Andrey Tretyakov as the shipper of the subject Mercedes which contains the illegitimate information including a bogus AES XTN/ITN number; d) the absence of any indicia that MTL had a lien on the subject Mercedes (warehouse lien or otherwise) and that liens simply do not materialize out of thin air; e) MTL's inability to lawfully take ownership of and subsequently sell the subject Mercedes valued at over \$40,000.00 due to \$900.00 in storage fees allegedly due and owing; f) the fact that the owner of the subject Mercedes and Porsche at the time of shipment was complainant herein, Maxim Ostrovskiy; g) the requirement that Maxim Ostrovskiy and/or Manhattan Auto Brokers Inc. should have been listed as USPPI on the Shipper's Export Declaration filed by MTL with the U.S. Department of Commerce at the time of the export of the car; h) the inconsistencies between MTL's argument to the ALJ that Maxim Ostrovskiy was not the owner of the Mercedes during the time of the ocean transportation of the car, and that MTL had allegedly confiscated and sold the Mercedes pursuant to a purported warehouse lien prior to export, and the fact that between June of 2013 and March of 2014 MTL reduced complainants amount allegedly outstanding from \$2354 to \$900 and also changed the name of the customer in its balance statement from "IAM & AL Group, Inc." to "Maxim Ostrovskiy"; and i) MTL having committed a Shipping Act violation by at the very least, having misdelivered the Mercedes to Dubai - - all of the foregoing is respectfully submitted as a 'change in status' of this case, so as to inform the Commission as same may reflect upon or be determinative of the pending Exceptions.

As always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: December 19, 2018
New York, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', written over a horizontal line.

Marcus A. Nussbaum, Esq.
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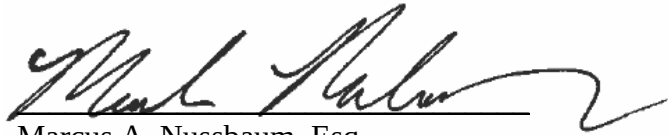
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT and APPENDIX** upon Respondents' Counsel at the following address:

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by first class mail, postage prepaid, and by email to: PeterCipparulo@cipplaw.com, and
garry.pogil@gmail.com.

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", is written over a horizontal line.

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